Junk Offerings Hit Feverish Pace
As New Cash Floods Mutual Funds

As investors shovel cash into junk bond mutual funds, companies are issuing high-yield junk debt at a feverish pace. New junk is finding a home because small investors, grasping for higher yields, are flooding junk bond mutual funds with record amounts of new cash. By some estimates, mutual funds now soak up nearly two-thirds of all new junk issues coming to markets. Assets of junk mutual funds have soared to some $40 billion from $25 billion at the beginning of 1992, when junk bond issuance took off.

Those assets are now $49.2 billion. The extent of the second mania to own almost certainly worthless paper, which has continued to this day, is reflected by Figure 15-2.

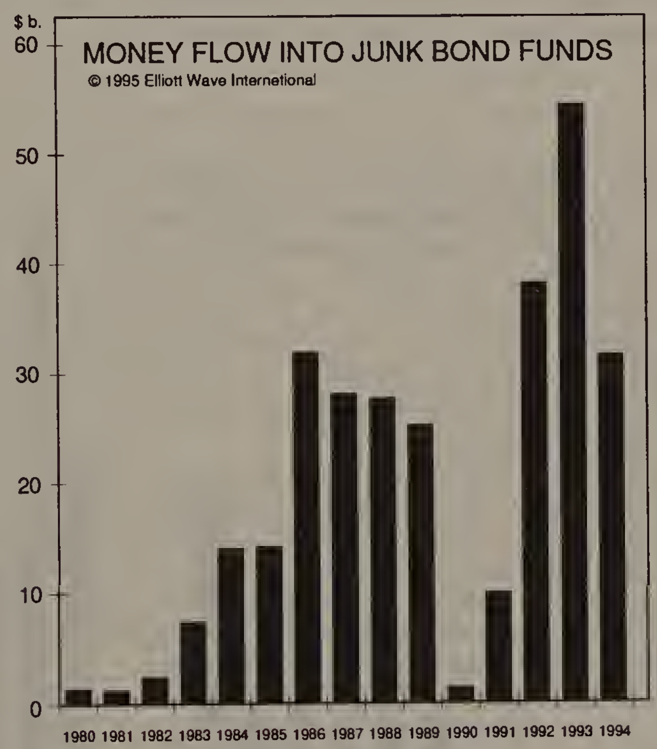

Figure 15-2

Ingenuity and Gullibility

In this psychological environment, involving an utter lack of discrimination by investors, corporations (and some governments) have found great success in issuing junk bonds rather than borrowing from banks, thereby avoiding the scrutiny and restrictions that are typically attached. Sellers recognize a hot market, and they have been cashing in big on this one. When in 1992 investors' desire to